

Deposit taker regulation and financial stability – emerging currents

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Introduction

The passing of the Deposit Takers Act 2023 (DTA) was only the beginning of a reset for our prudential regulatory system, which will take place as banking standards and supporting frameworks are implemented over the coming years. This process is being undertaken at the same time as unprecedented market developments that include the rise of fintech, stablecoin, AI-assisted business models, and the critical mass forming in our institutional capital markets.

This paper contains a brief survey of some key features of the new regulatory world and influences that will shape it:

- The new statutory objectives that will shape the formulation of the new prudential regime and its operation once it comes into full effect, including the body of standards that will replace the existing banking prudential requirements.
- The accountability regime that will underpin the prudential obligations formed under that rule set, including directors' liabilities and due diligence duties.
- Emerging market trends that will contribute to reshaping our financial system as this process takes place.
- Core elements of the crisis management and resolution regime that will be built alongside the standards to mitigate or manage the consequences of the failure of a deposit taker.

The purpose of this paper is to draw out some core principles and features that will help advisers to navigate the prudential landscape and contribute to its development.

Recoding the objectives of financial policy

A feature of the new DTA is to build substantially on the statutory purposes in the Banking (Prudential Supervision) Act 1989 (BPSA), providing a comprehensive and coherent set of purposes and principles to underlie financial policy and prudential practice. This has particular significance in the process to establish a new body of standards to achieve the articulated dimensions of financial stability and in enabling engagement and debate to take place under a common understanding of goals.

With the specificity of the purposes comes an element of complexity as they are reconciled and applied, an exercise that is inherently circumstance-specific. Accordingly, the comments below will seek to draw out some key elements to provide a context in which the purposes and principles can be understood.

Structure of the statutory objectives

The statutory objectives fall into four categories:

- The main purpose in section 3(1), supplemented and clarified by the additional purposes in section 3(2).

- Purposes applying to specific components of the regime, most notably the purpose for the Depositor Compensation Scheme (DCS) in section 190 and for the crisis management and resolution regime in section 259.
- The principles in section 4.
- A financial policy remit that is issued by the Minister of Finance under section 49 of the Reserve Bank of New Zealand Act 2021 (RBNZ Act).

These perform complementary roles in directing the considerations that underlie financial policy.

The legal effect of the statutory purposes

Purposes are a statement of the “why” of operative provisions and need to be integrated on that basis with how the Reserve Bank gives effect to its mandate and carries out its powers and functions.¹

Purposes have substantive legal effect in shaping decision-making – they do not create standalone substantive legal rights, but they have a direct bearing on the meaning and dimensions of the relevant function, power or duty. The scope of the prudential discretion and the considerations that should guide it are to be drawn primarily from interpretation of the substantive powers in light of the purposes attaching to them. Since the promulgation of new standards is a function of the Reserve Bank, for example, the purposes provide a guiding framework for that exercise.

While the principles to some extent can be understood and applied as standalone considerations, it is important to emphasise that the purposes are to be understood in the way they interact with operative provisions – they should be construed and applied on an integrated basis.²

The legal effect of principles

The principles in section 4 similarly guide and limit the Reserve Bank’s decision-making under the DTA as matters that the Reserve Bank must “*take into account*” in the performance or exercise of its functions, powers and duties to achieve the DTA’s purposes.

The legal nature of principles is that they operate as “mandatory considerations”. The Reserve Bank must ensure that each relevant principle is considered but the level of influence each principle has to a particular decision is determined by the Reserve Bank. The principles can never supplant the purposes. However, there is no hierarchy among the principles themselves (for example nothing is to be drawn from the order in which they appear).

As noted above, the purposes attach to operative provisions, affecting their substantive interpretation. The principles perform a somewhat different role, acting as a light to cast on the Reserve Bank’s proposed approach to its functions, powers and duties when making decisions. A function is to be formulated and performed for a specified prudential end determined in

¹ LDAC “Legislation guidelines: designing purpose provisions and statements of principle” (2021 edition).

² This reflects the fundamental principle enshrined in section 10 of the Legislation Act 2019 that the meaning of legislation must be ascertained from its text and in the light of its purpose and its context.

accordance with the purposes – how should that be done in a way that is proportional, least cost, promotes competition, and so on?

The legal effect of the Financial Policy Remit

The aim of a financial policy remit is to enable the objectives to be specified in more detail and to add further considerations.³ They cannot supplant statutory purposes.

Section 203 of the RBNZ Act requires the Minister to issue a financial policy remit which may specify or provide for matters that the Minister considers are desirable for the Reserve Bank to have regard to in relation to 1 or more of the following (s 204):

- achieving the financial stability objective;
- acting in a way that furthers the objectives or purposes of the prudential legislation; and
- performing the Reserve Bank's function under section 10(1)(b) (which relates to acting as a prudential regulator and supervisor under the prudential legislation).

Under section 49, the Board of the Reserve Bank must have regard to the remit when the board is:

- setting the prudential strategic intentions in the Statement of Intent;
- making significant policy decisions about how to achieve those prudential strategic intentions, or
- monitoring and reporting on the Reserve Bank's performance in achieving those prudential strategic intentions.

The remit explicitly applies to formulating and issuing standards (s 49 RBNZ Act).

As with the principles, matters in a remit are mandatory considerations in the specified aspects of the Board's decision-making, but the weight to be given to them is at the Board's discretion.⁴

The current financial policy remit, issued in 2024,⁵ sets out a number of points of emphasis in prudential policy, particularly on competition and innovation.

Main purpose

The existing BPSA (under a prior amendment), the RBNZ Act, and the DTA are united in their expression of the main purpose to *"promote the prosperity and well-being of New Zealanders, and contribute to a sustainable and productive economy"*. In the BPSA and DTA, a key hinge arises from the preposition *"by"*, which attaches this ambitious objective to specific functions:

- **BPSA:** Providing for the Reserve Bank to be responsible for registering and undertaking prudential supervision of banks and the other functions and powers specified in the Act. The purposes are elaborated in section 68, under which the prudential function must be

³ Consultation Paper 2b (June 2019), pg 18. An example of the former is the emphasis given to competition in the 2024 FPR. An example of an additional consideration is the remit concerning innovation.

⁴ Section 204(2) RBNZ Act.

⁵ Refer <https://www.rbnz.govt.nz/-/media/project/sites/rbnz/files/about/financial-policy-remit/financial-policy-remit-december-2024.pdf>

exercised for the purposes of promoting the maintenance of a sound and efficient financial system or avoiding significant damage to the financial system that could result from the failure of a registered bank.

- **DTA:** Protecting and promoting the stability of the financial system.

Accordingly, financial stability lies at the heart of the new regime. Because this is a multi-dimensional concept, section 3 goes on to provide that:

- (2) To that end, this Act has the following additional purposes:
- (a) to promote the safety and soundness of each deposit taker:
 - (b) to promote public confidence in the financial system:
 - (c) to the extent not inconsistent with subsection (1) and paragraphs (a), (b), and (d), to support New Zealanders having reasonable access to financial products and services provided by the deposit-taking sector:
 - (d) to avoid or mitigate the adverse effects of the following risks: (i) risks to the stability of the financial system: (ii) risks from the financial system that may damage the broader economy.

In addition to moving to the internationally recognised prudential foundation of financial stability, the DTA has a notable shift from the BPSA by expanding the remit beyond *system* stability to include a focus on the safety and soundness of particular deposit takers. The centrality of confidence to financial stability is also evident in the institution of the DCS, the purpose of which is financial stability (s 190(1)), and by its repetition in the crisis management purpose in section 259(1)(a)(ii) – there expanded beyond “public” confidence, and in the regulation-making powers in sections 454 and 459. In addition to the Reserve Bank’s stewardship role, this purpose underpins the increased emphasis in the DTA on communication to ensure that the public understands the rationale for its decisions.⁶

Hierarchies and interactions

Various hierarchies are expressly or impliedly⁷ integrated into the purpose provisions, which will shape the way they are integrated into functions, purposes and duties. Section 3 itself is an explicit hierarchy provision, first, in that it puts financial stability (“by”) into the service of productivity, prosperity and well-being and, second, because it acts as the overall “why” of all other purposes, indicating the high-level outcome or ‘end’ that financial stability is intended to achieve. The relationship between the purposes and principles also reflects an explicit hierarchy; section 4 provides that “*In achieving the purposes of the DTA*” the Reserve Bank must take into account the enumerated principles.

The words “to that end” in section 3(2) highlight that the additional purposes are intended to contribute to the main purpose. In practice, the additional purposes (and those in sections 190 and 259) will primarily shape decision-making, by giving more precise definition of the role of

⁶ Examples include the Statement of Approach to Resolution, the Statement of Funding Approach, and the information required to be given to the public about the DCS scheme.

⁷ Examples of the former include ss 3(2)(c) and 259(d). An example of the latter is the comparative elevation of the s 259 purposes in the event a deposit taker has gone into resolution under Part 7.

financial stability in promoting productivity, prosperity and well-being. The structure indicates that it is important to consider both the application of an individual purpose and how it work with others as an overall package to contribute to financial stability and New Zealand’s prosperity.

Relationship to the Standards project

The most substantial work programme to implement the DTA is the formulation and promulgation of the new set of Standards that will form the kernel of the prudential framework.

Under the incumbent law, the rules that perform the role intended for the Standards – known as the banking prudential requirements (BPRs) – have their statutory basis in section 74 of the BPSA, under the power to impose license conditions, and they are formed against the backdrop of the statutory purposes briefly noted above.

A major change brought about by the DTA is that the Standards take effect as secondary legislation and are prepared under similar rigours and conventions as applied by the Parliamentary Counsel Office. They also are governed by the purposes and principles of the DTA and the financial policy remit.⁸ In this regard, the principles assume a more prominent role than they might have in other circumstances.

There are thirteen separate Standards that are being prepared, that were divided into ‘core’ and ‘non-core’ for the purposes of the initial consultation, and are being drafted and introduced in tranches. While they are not formally organised into groupings, for the purposes of understanding the big picture of how they operate to contribute to financial stability, they could be envisaged in the following cohorts.

Soundness		Prudential processes	
Capital	Liquidity	Governance	Risk Management
Lending	Related parties	Operational resilience	DD guidance

Resolvability		System	
Crisis preparedness	OBR/CoAD	DCS	Branch
Outsourcing	Bail-in	Disclosure	Restricted activities

Due diligence guidance is included not because it is a standard – it is mandatory guidance (s 97) – but because it contributes along with the standards to assuring compliance with the prudential obligations and clarify the responsibilities of directors and senior managers for it. The bail-in standard is shaded because its inclusion depends on decisions to be taken about whether ‘haircuts’ of equity or debt claims in resolution will be by way of structural bail-in (in which claims

⁸ For the latter, refer section 49(1)(d) and 49(2) of the RBNZ Act 2021.

are retained in or transferred to a 'bad bank') or whether write-off or conversion may occur under statutory instruments.

To align with the establishment of the DCS, a DCS Transitional Standard was issued on 15 May 2025 with accompanying guidance.⁹ Exposure Drafts of remaining Standards will be released progressively for consultation from the first quarter of 2026, following on from the policy consultation on the standards.

Accountability for prudential obligations

A key change in the DTA from the 1989 law is to attach to prudential compliance a full accountability and enforcement regime, responding to shortcomings identified by the IMF FSAP and aligning the powers of the Reserve Bank as supervisor with those of the Financial Markets Authority (FMA) as conduct regulator of the financial system more generally.

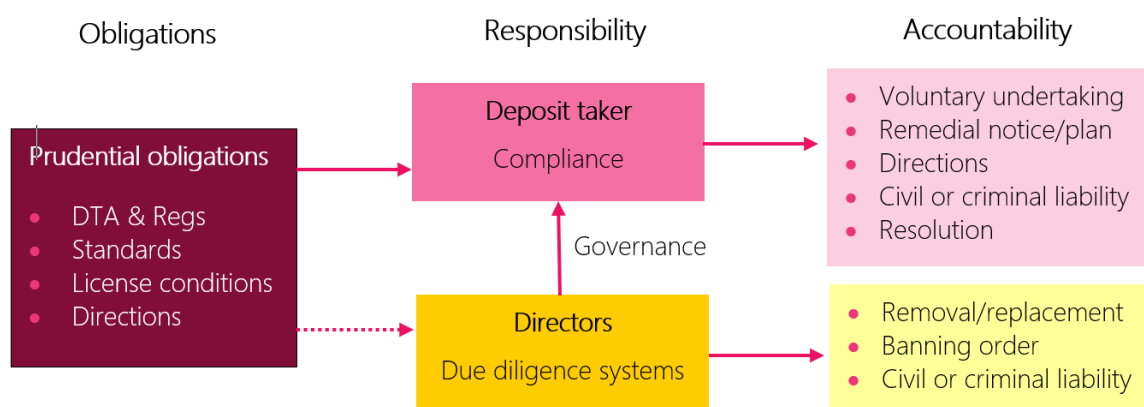
Central to the accountability and liability regime are the "prudential obligations", which encompass any obligation imposed under the DTA or regulations, Standards, license conditions, directions, and (for some purposes) the AML Laws.¹⁰ Matching this is a full range of supervisory and enforcement tools that enable a targeted and graduated response to compliance concerns.

Enforcement framework

The supervisory powers and enforcement framework in Parts 4 and 5 of the DTA yield a broad toolkit to respond to contravention. While the DTA is a complex Act, as a reasonable generalisation the structure of the Act for accountability and liability is:

- The deposit taker is responsible for prudential obligations.
- Directors are responsible for designing and implementing systems to promote that compliance (the 'due diligence duty').

For each, there is a flexible toolkit that can enable graduated and, if necessary, escalating responses:



⁹ Refer the Deposit Takers (Depositor Compensation Scheme Transitional Provisions) Standard 2025 (the Transitional Standard) and Guidance dated 16 May 2025. Relevant matters are also provided for in the Deposit Takers Regulations 2025.

¹⁰ The AML laws are excluded under ss 93 and 94.

The duties to uphold the prudential obligations are not merely passive:

- **Monitoring and reporting:** A deposit taker must monitor its compliance with its prudential obligations and report any contravention (ss 115 and 116).
- **Governance and risk management:** Standards require governance systems that promote compliance, allocate among directors and senior managers¹¹ responsibility for them, and create active risk management processes (ss 78 and 85).
- **Due diligence duty:** Every director, or for branches NZ CEO, must exercise due diligence to ensure that the deposit taker complies with its prudential obligations (ss 93-96).

Regulatory toolkit for remediation and enforcement

The 1989 legislation had a limited framework for the formulation of financial policy and for its supervision and enforcement. In the DTA, these have undergone a fundamental overhaul, both bottom-up – in the comprehensive supervision framework in Part 4 of the DTA – and top-down, in the purposes and principles that specify how functions, duties and powers are to be exercised. This is rounded out by the enforcement powers in Part 5, which provide an adaptable and graduated toolkit in line with international best practice.¹²

Components of the framework include:

- **Licensing and conditions:** An applicant's ability to comply with prudential obligations (including sound governance and business structure) are a mandatory consideration in license consideration (s 117). The Reserve Bank is empowered to apply conditions to any license and may require that directors certify compliance with prudential obligations and laws (s 24).
- **Standards:** A broad range of standards may be issued to regulate or promote prudential matters, which are prepared and take effect as secondary legislation (ss 74-92).
- **Information, inspection and investigation:** The Reserve Bank may require information from any person if it considers it necessary or desirable for the purposes of performing or exercising its functions, powers, or duties (s 99); conduct on-site inspections to assess the adequacy of policies, processes, controls, or other arrangements for complying with prudential obligations (ss 111, 112); or appoint an investigator – who has wide powers, including of search and interview – if it has reasonable cause to suspect that a prudential obligation has been or is likely to be contravened and it considers it necessary or desirable for the purposes of performing or exercising its functions, powers, or duties (ss 126, 127).
- **Undertakings:** The Reserve Bank may accept a written undertaking from a deposit taker or other person about a matter in relation to which the Reserve Bank is performing or exercising any of its functions, powers, or duties under the DTA. If accepted, it becomes

¹¹ Defined for locally incorporated deposit takers as the CEO, CFO, and direct reports to the CEO. For branches, it is the NZ CEO and NZ CFO.

¹² Refer Basel Committee on Banking Supervision (BIS) *Core Principles for Effective Banking Supervision* (April 2024 ed) – <https://www.bis.org/bcbps/publ/d573.pdf>

enforceable and it is an offence to contravene it. This can include paying compensation to any person, taking remedial action, or paying an amount to the Reserve Bank in lieu of a pecuniary penalty (ss 148-154).

- **Remedial notices and plans:** If it has reasonable grounds to believe a prudential obligation has been or is likely to be contravened, the Reserve Bank may require the deposit taker to address, remedy or mitigate the contravention, including a remedial plan setting out required steps (s 119).
- **Warnings:** If the Reserve Bank has reasonable cause to suspect that a prudential obligation has been or is likely to be contravened, it may issue a warning and require it to be published by the deposit taker (s 133).
- **Directions:** The Reserve Bank may give a direction if a deposit taker has or is likely to contravene a prudential obligation in a material respect, as one of the escalated responses within Part 7 of the DTA (s 265). The circumstances for this include that the deposit taker has contravened, may have contravened, or is likely to contravene any other prudential obligation in a material respect. The scope of directions is broad (s 267).
- **Resolution:** Persistent or serious contravention of prudential obligations is a ground for resolution under Part 7 of the DTA (s 280).

Directors' responsibilities and accountabilities

The general scheme of the DTA is that responsibility for compliance with prudential obligations is of the deposit taker, and the responsibility of directors is to exercise due diligence to ensure that the deposit taker complies with its prudential obligations. This duty is one of the four channels of for attributing personal liability to directors:

- **Due diligence duty:** Directors must "*exercise due diligence to ensure that the deposit taker complies with its prudential obligations*", including specific requirements to design and oversee systems to ensure compliance and carefully circumscribed rights of reliance and delegation (ss 93-96).
- **Direct liability:** While certain civil or criminal offences apply only to the deposit taker, others apply to "any person" and so can ground direct action for contravention.
- **Accessory liability:** Sections 157(1)(b) and 157(2) provide for accessory liability for those "*involved in a contravention*" of standards (and not other prudential obligations), which apply when a person has aided, abetted, counselled, or procured the contravention, induced or conspired, or been in any way, directly or indirectly, knowingly concerned in, or party to, the contravention.
- **Vicarious liability:** For information and disclosure contraventions under section 175, directors are deemed to be responsible unless a defence is available to them, similar to the

position applying to regulated disclosure breaches in section 534 of the Financial Markets Conduct Act 2013 (FMCA).¹³

These provisions are applied to directors on an individual basis – the responsibilities of the board as a collective are addressed in the governance standard (s 78).

Due diligence duty

A significant change in the DTA is to create a positive duty on directors (and, for branches, their NZ CEO) to exercise due diligence to ensure that the deposit taker complies with its prudential obligations. It is designed to ensure that those responsible for the management of the deposit taker activate systems and processes to ensure compliance and also, reflecting the ethos behind the FMCA, to encourage sound procedures and provide benefits for doing so, even if something goes wrong. The converse is also true – failure to design and implement adequate systems is itself a contravention, even if underlying prudential obligations at that time are fulfilled.

Under section 93(1), every director must exercise due diligence to ensure that the deposit taker complies with its prudential obligations.¹⁴ This has comprehensive scope, including applying to all standards. The standard of care is specified in section 93(2) – the director must exercise the care, diligence, and skill that a reasonable director would exercise in the same circumstances, taking into account the size and nature of the business¹⁵ and the position of the director the nature of their responsibilities undertaken. Breach can ground civil liability under section 157(1)(d).

Sections 95 and 96 of the DTA provide important direction on the parameters and expectations of the due diligence duty. The first provides that “due diligence” includes taking reasonable steps to ensure that the deposit taker:

- requires its employees and agents to follow procedures, or has implemented automated procedures, designed to ensure compliance with the prudential obligations;
- has in place methods for systematically identifying deficiencies in the effectiveness of the procedures for compliance; and
- promptly remedies any deficiencies discovered.

Section 96 provides that, when performing due diligence duties, directors may rely on reports, statements, and financial data and other information prepared or supplied, and on professional or expert advice given, by:

- an **employee** whom they believe on reasonable grounds to be reliable and competent in relation to the matters concerned;

¹³ Specifically, section 176 of the DTA provides that if a deposit taker is convicted of an offence against section 175, every director is guilty of the offence if it is proved that the act took place with the director’s authority, permission, or consent **and** the director knew, or could reasonably be expected to have known, that the offence was to be or was being committed and failed to take all reasonable steps to prevent or stop it.

¹⁴ There is a corresponding duty in section 94 of the DTA for NZ CEOs of branches that are not locally incorporated.

¹⁵ This is a recurrent phrase in the DTA which complements the proportionality principle in section 4(a)(i).

- a professional **adviser or expert** in relation to matters which A believes on reasonable grounds to be within the person's professional or expert competence; and
- in the case of a director, any other director or **committee of directors** upon which A did not serve in relation to matters within the other director's or committee's designated authority.

The director must act in good faith, make proper inquiry where the need for inquiry is indicated by the circumstances, and have no knowledge that such reliance is unwarranted.

Under section 97, the Reserve Bank is required to prepare and publish guidance about the due diligence duties, which may include guidance about the respective roles and responsibilities of directors and senior managers. In this respect and more broadly, the Governance Standard will also provide direction on the expectations as the enabling provision, section 78, contemplates that the standard may regulate or deal with the governance of a deposit taker, including the responsibilities of the governing body, of committees of that body, and of its management.

Civil liability

Deposit takers, directors, and in certain cases other persons, can be subject to civil and criminal liability for contraventions of prudential obligations or for more specific breaches. These generally apply a due diligence defence where no specific fault element is contained in the relevant provision. There is also a range of contraventions for which infringement notices may be issued.

The core civil liability provision is section 157 of the DTA, which provides that the Reserve Bank may apply to the court for an order for a person to pay a pecuniary penalty if the person has:

- contravened an applicable standard (subject to the defence in s 160);
- been involved in the contravention of an applicable standard (accessory liability);
- contravened a condition of its license (also subject to the defence in s 160); or
- contravened the due diligence duty under s 93 or (for branches) 94.

The first and third of these should normally apply to the deposit taker, as the person obliged under standards and license conditions. The fourth applies to directors or, for branches, their NZ CEO.

Defences for civil liability

Section 160 of the DTA applies to civil proceedings under section 157 for breach of standards and license conditions. The elements of this defence are:

- **Reliance:** Contravention was due to reasonable reliance on information provided by another person, *other than a director, an employee, or an agent of A*.
- **Cause outside control:** Contravention was due to the conduct of another person, *other than a director, an employee, or an agent of A* or an accident or some other cause beyond the control of A *and A's directors, employees, and agents* and A took reasonable precautions and exercised due diligence to avoid the contravention.

It does not apply to breaches of the due diligence duty since the elements of that contain their own 'defences' (for example, reliance on information provided by others or, more broadly, meeting the relevant standard of care).

Where directors or others are pursued for involvement in a contravention, a defence is under section 161, which provides that if a person (B) has contravened a Standard and another person (C) is involved in a contravention, it is a defence if C proves that:

- its involvement in B's contravention was due to **reasonable reliance** on information supplied by another person, *other than a director, an employee, or an agent of C*; or
- C took **all reasonable steps** to ensure that B complied with the applicable standard.

Under section 159 of the DTA, a court in determining whether to order a pecuniary penalty or setting its level, must have regard to specified factors, including the extent to which the conduct undermines the purposes of the Act, loss or damage caused, whether steps have been taken to avoid or mitigate adverse effects, whether the conduct was intentional or reckless, and any previous similar conduct. Statutory factors also apply under section 154 to a court in deciding whether to enforce an undertaking – the nature and extent of the contravention or of loss or damage resulting, and whether it was intentional, inadvertent, or caused by negligence.

The tenor of these provisions is consistent with the principle underlying the due diligence duty, to encourage systems and behaviour that give attention to, and support compliance with, the deposit taker's prudential obligations.

Offences

Offences are attached to breaches of specific provisions of the DTA, applying as follows:

- **Deposit taker:** approval of directors (ss 27-30); non-disclosure of where there are fit and proper concerns (s 33); credit ratings (ss 60, 65); failure to publish report or obtain audit (ss 104, 106); monitor compliance & report contraventions (s 117); remedial plans (s 125); refusal of on-site investigation by overseas supervisor (s 143); and contravening an undertaking (s 152).
- **Particular persons:** *employee, director or agent* fails to supply information in an on-site inspection (s 114); *directors'* vicarious liability for offences under s 175 (s 176); *issuer of financial product* – DCS advertising (s 258); *valuer* – NCWO misuse of information and record retention (s 390, 402); *covered bond issuer* – covered bond programme registration, corrective actions (ss 406, 418), *financial services provider* – restricted words (s 426); *Reserve Bank board/staff* unauthorised disclosure (ss 444, 447).
- **Any person:** carrying on business as a DT without a license or holding out (ss 11, 14); major changes approval (ss 44, 51); failure to supply information (s 100); investigations (ss 129, 132, 137); false information/misrepresentation (s 175); contravening banning order (s 180); disclosure of directions (s 273); resolution-related (ss 345, 346, 388, 390, 402); restricted words (ss 435, 437).

Section 185 provides a defence to the offences if the defendant (A) proves that:

- the contravention to which the offence relates was due to the conduct of another person, *other than a director, employee, or agent of A* or an accident or some other cause beyond the control of A *and A's directors, employees, and agents*; and
- A took *reasonable* precautions and exercised due diligence to avoid the contravention.

This defence is broadly similar to that available for civil actions under s 160. It covers all the offences listed above, other than:

- those subject to a specific fault or *mens rea* element (knowledge, intent, recklessness) – ss 11, 14, 44, 125, 132, 175, 346, 390, 444, 447 and
- breach of an undertaking or banning order (ss 152 and 180).

The DTA also provides for infringement offences, in which lower level administrative fines apply to a limited range of transgressions – notification of senior appointments (s 30); fit and proper requirements (ss 31, 33, 36); notification of significant influence transactions or amalgamations (ss 40, 43), credit ratings (ss 64, 66-69); and publishing DCS deposit list (s 193).

Approach to enforcement

The Reserve Bank has published a range of guidance on its regulatory response model, including:

- *Enforcement Principles and Criteria Guidelines* (18 May 2022). These apply enforcement principles that guide investigation and enforcement strategy – risk-based, proportionate, and transparent – and enforcement criteria informing appropriate responses – seriousness of conduct, responsiveness, public trust and confidence, and efficacy.
- *Enforcement Framework* (16 January 2023). This highlights the broader regulatory response model, which provides for graduated interventions in a range from normal supervision, heightened supervision, targeted responses, and court responses.
- *Investigation Guidelines* (26 January 2023). These describe the approach to investigations, how the Reserve Bank applies the Enforcement Principles and Criteria throughout the lifecycle of an investigation, and the use of information gathering powers under prudential legislation when used as part of an investigation.¹⁶

These sit alongside the *Statement of Prudential Policy*, which covers principles considered in making decisions across prudential policy, supervision, enforcement, and resolution.¹⁷

¹⁶ Refer <https://www.rbnz.govt.nz/regulation-and-supervision/cross-sector-oversight/enforcement>

¹⁷ Refer <https://www.rbnz.govt.nz/-/media/project/sites/rbnz/files/regulation-and-supervision/statements-of-approaches/sopp-2022.pdf>

Financial innovation, financial stability

At the same time as the prudential regulatory framework is undergoing its most fundamental transformation in a generation, significant developments are taking place in the banking, payments and broader financial system.

Unification of regulated deposit-taking

A feature of the DTA is to unite the separate categories of regulated deposit takers – registered banks and non-bank deposit takers (NBDTs) – as licensed deposit takers. This makes the regulated deposit taking base larger and more diverse, incorporating finance companies, credit unions and building societies into the core prudential framework and providing protection to their depositors under the DCS.

The DTA also has themes of promoting diversity and competition in the regulated financial sector and the 2024 Financial Policy Remit also gives emphasis to innovation and dynamism. In this regard, three principles under section 4(a) are significant in shaping policy about the nature and extent of the application of the prudential regime:

- **Proportionality:** Taking a proportionate approach to regulation and supervision.
- **Like treatment:** Consistency in the treatment of similar institutions.
- **Diversity:** The deposit-taking sector comprising a diversity of institutions to provide access to financial products and services to a diverse range of New Zealanders.

In addition, principle 4(b) – the need to maintain competition within the deposit-taking sector – and principle 4(c) – the need to avoid unnecessary compliance costs – contribute to policy formation, and adapting regulation to the size and nature of the deposit taker's business is a recurrent factor in the DTA.¹⁸

Proportionality broadly involves matching prudential requirements to the risk to be addressed.¹⁹ The 'like treatment' principle has a degree of tension with proportionality, in balancing the need to have a rational and neutral framework and in tailoring rules to the different types and scale of deposit takers. The Reserve Bank has published a Proportionality Framework to indicate its approach to balancing these principles to promote a financial system that is diverse, innovative and inclusive and to support consistency and coherence when developing standards under the DTA.²⁰

¹⁸ Refer section 17(1)(a) and (c) – licensing; section 24(1)(d) (license conditions); section 72(1)(a) – exemption from credit rating requirements; section 77 – proportionality framework; and sections 93 and 94 – due diligence duties.

¹⁹ BIS defines proportionality in the following way: "Proportionality in financial system regulation and supervision may ensure that the applicable rules and supervision practices are consistent with banks' systemic importance and risk profile, and are appropriate for the broader characteristics of a particular financial system".

²⁰ As required by s 73 of the DTA. Refer <https://www.rbnz.govt.nz/-/media/project/sites/rbnz/files/regulation-and-supervision/dta-and-dcs/the-proportionality-framework-under-the-dta.pdf>

Wholesale-funded NBLIs

As under the current regime, the regulatory perimeter remains separated not just by activity (the combination of borrowing and lending) but by the source of funding – entities that receive their funding in wholesale markets rather than from retail deposits are not required to be licensed.²¹

This category of wholesale-funded non-bank lending institutions (**NBLIs**) is not prudentially regulated but is recognised in the prudential regime in the form of “non-deposit-taking lenders”, to which lending standards and macroprudential rules may be extended under sections 82(2) and 84 of the DTA.

New technologies and business models

The period that the 1989 laws were in force involved unprecedented developments in financial policy, prompted first by the Basel Accords and later by the challenges exposed by the GFC. These took place against the backdrop of a comparatively stable business model, dominated by large banks operating under a vertically integrated, full-service architecture. Here, banks built their savings, payments, credit and other functions from an integrated platform comprising:

- Balance sheet and regulatory status (e.g. bank/NBDT/deposit taker license).
- Infrastructure for operations, credit decisions, risk management, and compliance.
- Customer interface, traditionally physical (branches) but increasingly supplemented, or even replaced, by electronic (including App-based) modes.

Digital technology is increasingly enabling a different approach to this value chain, in which functions may be decomposed into separate building blocks, challenging prudential structures premised definitionally and functionally on an integrated model. New tools such as AI, cloud computing, smart contracts, distributed ledger technologies and APIs are generating opportunities both to incumbents to and new entrants to enhance their service offerings and reduce their cost to serve.

While some of these changes are incremental rather than disruptive, we are also seeing a surge of new models, including digital banks, fintechs and platforms – some focusing solely on financial services and others integrating banking with broader communication and consumer offerings – with providers range from startups to big tech firms. At a product level, the advent of tokenisation, crypto assets and stablecoins are enabling new asset classes, primary and secondary market platforms, and transaction processes (including peer-to-peer payments).

These developments provide opportunities for increased competition, innovation and efficiency, while enhanced data functionality enables services tailored to individual preferences or which embed finance within wider consumer models.

²¹ The current perimeter is established in section 5 of the NDBT Act 2013, which requires registration where an entity undertakes both lending and borrowing, in the latter case under a “regulated offer” of debt securities, which includes retail deposits. This remains the case under Schedule 2 to the DTA, which drops the category of “financial services” (a term of contested meaning in the various contexts in which it is used) from the perimeter determination.

There is a kaleidoscope of products and business models and thousands of market participants worldwide, but it is worth calling out three products for the purposes of analysis:

- **Blockchain-based cryptoassets**, such as Bitcoin, that are not backed by fiat currency or other reserve assets. While they may be used for payments, investment is a primary use case.
- **Stablecoins**, which are a type of cryptocurrency designed to maintain stable value, typically pegged to and backed by fiat currency or other high quality financial assets. They have diverse and evolving uses, functioning as digital payment instruments, secondary market facilities for converting cryptocurrencies to fiat money (a 'crypto-fiat bridge'), providing collateral for decentralised finance (DeFi), and operating to support clearing and settlement.
- **E-money**, which is an electronic store of monetary value on a technical device (such as a digital wallet or prepaid card) that may be widely used to make payments. E-money is very similar in form and function to stablecoin and increasingly is distinguished primarily by its regulatory classification and the ease with which they may be redeemed from the issuer at par.

While they are rapidly increasing in volume and integration into the financial system, jurisdictions around the world are grappling with finding a regulatory home that can support the potential contribution of fintech and other innovative models while understanding and managing any risks that arise from them. Part of this involves threshold characterisation questions arising from the range of services and activities involved, and how they may fit within the regulatory architecture:

- **Payments regulation:** Particularly for stablecoin and e-money facilities and platforms. In New Zealand the primary reference point would be the designation framework under the Financial Market Infrastructures Act 2021 (**FMI Act**) and operational engagement in payment, clearing and settlement systems under that aegis.
- **Securities regulation:** Particularly for crypto assets that may be acquired for investment purposes. Relevant laws are directed to securities offerings, and regulation is focused on investor protection, disclosure, conduct and governance. In New Zealand, the regulatory framework is under the FMCA, the application of which depends on whether products are "financial products" and there is a regulated offer (one made to the public).
- **Markets regulation:** Particularly for crypto-fiat bridges, platforms, and other intermediary or secondary market services. The regulatory objectives are focused on market conduct, operational and counterparty risk, particularly for secondary platforms that facilitate conversion of cryptoassets to fiat currency (money). In New Zealand, there is a regulatory framework for intermediary services under subpart 5B of Part 6 of the FMCA the application of which depends on complex definitions and carries a range of exclusions.
- **Prudential regulation:** Particularly for digital, challenger banks or others that operate an 'on balance sheet' model encompassing deposit taking and lending. Here the objective is financial stability and mitigating vulnerabilities through capital, liquidity, risk management and other requirements. Some regimes that place cryptocurrencies in the payments or

markets categories also feature quasi-prudential rules, for example controls on 'backing assets', liquidity or 'own funds' requirements. In New Zealand, the current regulatory frameworks are under the BPSA and NBDT Act and in future will be the DTA.

The key is to ensure a coherent treatment based on economic function and use, aligned with the objectives of the various regulatory categories and the problems they are seeking to solve.

To date, regulatory responses to these financial innovations has been heterogeneous, but targeted regulatory regimes for e-money are now mature in some jurisdictions and consideration is being given to how to assimilate stablecoins and other crypto assets. As part of this, new regulatory categories are emerging that are or may be tailored to fintech models, including for payment service providers (**PSPs**), catering for transactional facilities, and stored value facilities (**SVFs**), catering for savings products. The following is a small sample of emerging regulation in major markets:

- The EU was an early regulator of e-money, by way of the 2002 Electronic Money Directive, revised in the Second E-Money Directive 2011 (**EMD2**) with further changes occurring under the Payment Services Directive 2015 (**PSD2**), which have minimum capital and other requirements. The EU also has the Markets in Crypto-asset Regulation (**MiCAR**), which classifies stablecoins referencing a single fiat currency as "e-money tokens".
- The United Kingdom gave recognition to the EU regulatory framework under the Electronic Money Regulations, which create a regulatory category of electronic money issuers (**EMIs**), including for the segregation and safeguarding of client funds, a 1:1 ratio for backing assets, and redemption on demand.²²
- The United States have enacted payments focused regulation through the GENIUS Act – which provide for issuer oversight, 1:1 reserve backing with cash or cash-equivalent assets, no interest to be payable to holders, no lending or rehypothecation of reserves, insolvency preference for holders, and other integrity measures – and CLARITY Act, which classifies cryptoassets according to the balance of their investment or payment function and assigns responsibility to relevant regulators (SEC and CFTC) accordingly.²³

The United Kingdom is currently in a policy process for stablecoin, which has generated controversy by placing this asset class under the securities/conduct regime rather than being treated as a form of payment infrastructure.²⁴

Closer to home, a reform proposal was recently announced in Australia to consider the appropriate way to regulate PSPs and SVFs. The initial working paper contemplates obligations

²² Refer Payment Services Regulations 2017 (UK) and the Electronic Money Regulations 2011 (UK).

²³ Guiding and Establishing National Innovation for US Stablecoins (**GENIUS**) Act and Digital Asset Market Clarity (**CLARITY**) Act.

²⁴ Ferdisha Snagg and Yasmin Frischmeier "Mind the gap: UK stablecoin rules create uncertainty" (August-September 2025) Butterworths Journal of International Banking and Financial Law 558 – the authors raise concern that the proposals introduce "functional incoherence", undermine legal certainty, and risk deterring responsible innovation and jeopardising the ambitions of the UK to be a global hub for cryptoassets. The primary securities and markets legislation in the UK, broadly equivalent to the FMCA, is the Financial Services and Markets Act 2000 and various regulated activities orders under it.

include providing financial services efficiently, honestly, and fairly; managing conflicts of interest; having a dispute resolution system for retail clients; having arrangements for compensating retail clients; meeting solvency and cash reserve requirements; keeping and submitting financial records; holding surplus liquid funds, client money rules, and technical standards.²⁵

Aside from the crypto products, activities and providers themselves, there are also regulatory or reform initiatives to address the interaction with regulated entities. Notably, the Basel Committee has published a Crypto Standard which provides for capital deductions based on the classification of cryptoassets into groups based on classification tests defined according to the safety of the exposures.²⁶

While there has been a great deal of policy and regulatory focus and activity internationally,²⁷ no common approach has emerged, and proposals that have arisen have been hotly contested, on one side in their adequacy in consumer protection and market integrity (the protective view, that tends to predominate in the EU), and on the other in an enabling stance that emphasises innovation and market development (the maximalist view, that is evident under the current initiatives in the United States).

Adjacent perimeters, common interests

New models for banking services in many cases will invoke the perimeters of both the FMA, as conduct regulator, and the Reserve Bank as prudential regulator – particularly for business models involving payment or other transactional facilities (PSPs), savings products (SVPs), and intermediation models.

In some cases the cross-over is formalised or clear from statute, for instance:

- **FMI:** FMA and Reserve Bank have a dual mandate to oversee clearing and settlement systems and other financial market infrastructures that are designated under the FMI Act, with the Reserve Bank acting as sole regulator of designated pure payment systems.
- **Consultation:** In addition to normal conventions, the DTA requires the Reserve Bank to consult with the FMA for the proposed issue or cancellation of a banking license (s 17, s 54) and prior to the issuance of Standards (as a member of the Council of Financial Regulators (COFR)) (s 75).
- **CMPS/DCS:** There is a statutory link in the DTA-FMCA for certain intermediated arrangements that are recognised for the purposes of the DCS as “relevant arrangements” that are eligible for compensation on an intermediary basis.²⁸

²⁵ Refer <https://treasury.gov.au/sites/default/files/2023-12/c2023-469663-factsheet.pdf>.

²⁶ See Isobel Wright and George Kiladze “Fantastic cryptos and where (not) to find them: prudential rules for the digital age” (August-September 2025) Butterworths Journal of International Banking and Financial Law 565.

²⁷ Refer for example IOSCO *Policy Recommendations for Crypto and Digital Asset Markets Final Report* (November 2023), IOSCO *Application of the Principles for Financial Market Infrastructures to stablecoin arrangements* (July 2022), and FSB *High-level Recommendations for the Regulation, Supervision and Oversight of Global Stablecoin Arrangements: Final report* (July 2023).

²⁸ Refer section 191(2) of the DTA, which defines “relevant arrangement” by reference to section 431W of the FMCA, which defines a “regulated client money or property service” (CMPS). Certain occupation-related arrangements (such

Formal or incidental coordination also occurs in other areas – including resolution interventions, market conduct issues (such as consumer communications and fair dealing), and enforcement actions. Coordination also takes place for some fintechs participating in the FMA’s regulatory sandbox pilot.

The regulatory status under existing laws can result in considerable complexities under either the FMCA or the BPSA/DTA in their own right, which are multiplied when a business model has elements that may straddle those regimes.

A shift in the composition of our financial system

Among the most vital functions of the banking system is the transmission of savings to investment, contributing in particular to the main purpose (before “by”) of promoting the prosperity and well-being of New Zealanders and contributing to a sustainable and productive economy. That deposit claims are instant, and loan assets are not, creates the vulnerability that, along with the practical and systemic importance of banks, is a key part of the rationale and basis for prudential regulation.

New Zealand features a comparatively high level of credit intermediation (that is, the portion of lending offered through full service banks), at above 90%. By way of comparison, banks’ collective share of the lending market in the United States is 40%, in the United Kingdom 60%, in Australia 70%, and in Europe 80%, in each case with the remainder taken up in the capital markets, credit funds or other institutions in the financial sector.

Among the factors contributing to this has been the under-developed state of New Zealand’s capital markets – a matter that has been subject to long term efforts of reform. In one respect, at least, those have borne fruit, in the significant growth of institutional funds under management resulting predominantly from changes in the early to mid-2000s, including:

- the establishment of KiwiSaver retirement accounts on 1 July 2007;
- the creation of NZ Super Fund, which began with a contribution of \$2.4 billion of public funds in 2003, effectively to operate as a national retirement savings account; and
- the expansion of ACC’s investment function following the move in 1999 to the scheme being fully-funded.

The Reserve Bank has maintained a dataset for managed funds since December 2003, when the sector had \$57.5 billion assets under management (AUM). The remainder of the decade saw incremental growth, subject to a setback during the GFC, to reach \$74 billion in 2010, and gathered momentum from 2012, passing \$100 billion for the first time in September 2013 and \$150 billion in early 2017. The \$200 billion milestone was reached in September 2019 and the institutional capital markets now have AUM exceeding \$340 billion.

In addition to managed funds, our sovereign wealth funds, ACC and NZ Super Fund, have followed a similar trajectory during this period, and now have AUM approaching \$130 billion.

as money held in lawyers’ trust accounts or by real estate agents) are excluded from being regulated CMPS under the FMCA (being subject to their own rules and controls) and are added back in the Deposit Taker Regulations 2025.

As a result, we've arrived at the position in which the following snapshots can be taken of the current composition of the financial system and how it has changed since a decade ago:

Type	AUM (2015)	AUM (2020)	AUM (2025)
Banks	\$480.5B	\$629.3B	\$746.2B
NBDTs & savings institutions ²⁹	N/A	N/A	\$3.2B
Kiwisaver/other managed funds	\$128.3B	\$216.9B	\$341.1B
Sovereign wealth funds	\$52.6B	\$83.1B	\$128.8B
Wholesale-funded NBLIs ³⁰	N/A	N/A	\$21.3B

A decade ago, then, the institutional capital markets had a little over \$180 billion of investment capacity, and contributed just over a quarter of financial system assets excluding insurance (72.6% of system assets contributed by the regulated deposit taking sector). Now, the institutional sector has almost a half-trillion of investment capacity and contributes more than a third of system assets (64% contributed by the regulated deposit taking sector).

Contribution of institutional participants

The comparisons above are not like-for-life since Kiwisaver, sovereign wealth, and other institutional funds have a diverse asset allocation across local and global equities and bonds and other asset classes, invest according to their own mandates and fiduciary duties, and generally do not have an infrastructure that supports general direct lending in their own right. But they do combine substantially expanded investment capacity with an increasing appetite to deploy members' funds in sound domestic investment and are engaged in the financial system as:

- Active investors in bank-issued senior bonds, contributing to the core funding ratio as well as providing liquidity through shorter dated instruments.
- Participants in 'term out' securitisation-funding support for NBLIs who have capital markets programmes.

Their different liquidity profile and mandate also provide a natural home for infrastructure and other long-horizon assets that are crucial to social and economic development – something that has been a feature of the Australian investment landscape as their superannuation sector achieved critical mass.

²⁹ Comprises deposit and other retail-funded finance companies, building societies and credit unions.

³⁰ Included for comparison – will double-count both Bank and Managed funds to the extent they source funding.

From a financial stability perspective, their different purposes and asset allocations could help in delivering diversity and reducing prudential risk because the interests of their members are not debts and, being for retirement funds (and in the case of ACC, provision for long term scheme liabilities), have a different liquidity profile and longer investment horizon.

The growth in recognition of the institutional capital markets not just as stewards of retirement savings but as a source of productive capital is a trend that will likely sit alongside fintech developments in shaping our financial system over the coming years.

Crisis management, recovery, and resolution

Prudential rules are designed to reduce the probability of bank failure, a resolution regime to avoid or mitigate the consequences of failure if it occurs. This section focuses on the changes brought about by the DTA, the core elements of the work programme to bring an enhanced resolution regime into effect, and the statutory objectives that will govern it.

Continuity and change under the DTA

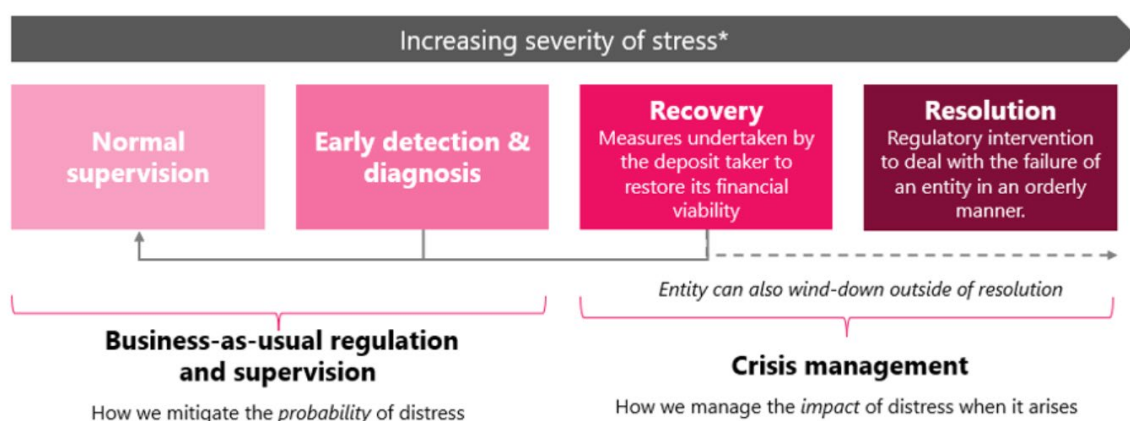
Resolution is premised on and shaped by the fact that normal insolvency procedures are inadequate to address financial stability concerns. Up to now, the cornerstone of resolution has been the statutory management regime in Part 5 of the 1989 Act, and – for the largest banks – the accompanying Open Bank Resolution (OBR) and Outsourcing requirements (BS 17 and BS 11).

The continuation of the statutory management toolkit in the resolution procedures in Part 7 of the DTA can obscure significant changes that have been ushered in under the DTA:

- **Depositor compensation:** The DCS is a significant new tool in the crisis management and has been in operation from 1 July 2025, in advance of other aspects of the new regime. Up to the limit of \$100,000 per depositor per institution is available to all licensed deposit takers, including NBDTs.
- **Resolution:** Statutory management has generally been a terminal procedure in practice if not in principle. Under the resolution procedure in Part 7 of the DTA, there is an increased emphasis on rehabilitation and continuity.
- **Statutory objectives:** Under the BPSA, there were objectives in the form of considerations the statutory manager was required to take into account. There is now a complex framework of purposes – in section 190 relating to the DCS and section 259 relating to crisis management more broadly – that drive resolution both in its execution and preparation. In addition, whereas the BPSA purposes were system-focused, the DTA includes a focus on the safety and soundness of particular deposit takers.
- **Control:** Statutory management was primarily structured as a delegated procedure to be undertaken by an insolvency official or other appointed statutory manager. While that option remains available in the form of one or more “resolution managers” (who can be or include the Reserve Bank), the Reserve Bank now has clear responsibility as resolution authority.

- **Resolution funding:** In addition to deposit compensation, the DCS Fund gathered from levies and other sources may be deployed to undertake a resolution measure (or, until the regime is in full force, a statutory management measure). This opens up a range of resolution options that would not have otherwise been available, avoiding the invidious dichotomy of a costly failure and taxpayer bailout. Through *ex post* levies, the costs can be internalised to the sector through time.
- **NCWO:** To balance out the fact that creditors or classes of creditors may be treated differentially in resolution in pursuit of prudential aims (something that is fundamental to the basis for resolution), creditors and shareholders now entitled to compensation where they receive less in resolution than they would have received in a hypothetical liquidation.
- **Communication:** There are extensive requirements to communicate resolution policy, at the broadest level, through the Statement of Approach to Resolution (**SoAR**), to operational matters (such as providing information in connection with the DCS).

It is important to stress that resolution is not an isolated matter but is integral to the broader prudential framework, including the supervisory and accountability frameworks addressed above that emphasise a continuum of graduated and targeted responses:



The work programme – standards and prepositioning

Implementation of Part 7 of the DTA shares in common with other areas of prudential policy the requirement to create new standards but also has substantial companion projects that will need to be advanced on an integrated basis:

- **Standards:** A trinity of standards is contemplated to give effect to the new resolution regime – an overarching Crisis Preparedness Standard under section 89, and revised forms of the existing OBR standard (BS17), which may be recast as “Continuity of Access to Deposits”, and Outsourcing (BS11) standard, which provides for continuity of essential services.³¹ Depending on policy choices, to this may be added a bail-in standard under section 80 of the DTA.

³¹ Refer generally Reserve Bank *Crisis Management Issues Paper* (August 2024).

- **Regulations:** A variety of provisions enable regulations to be made for technical or other matters that may be necessary or desirable, for example on the methodologies and assumptions and other matters relevant to NCWO valuation and compensation and resolution measure valuation under section 231.
- **Communications:** As noted above, the DTA has a heavy emphasis on transparency, so the work programme will need to incorporate a formal expression of the overall approach to resolution in the SoAR (s 261) and a range of other policy, guidance or communications documents that can help inform depositors and other stakeholders.
- **Orderly resolution plans:** Resolution plans will bring down the resolution strategies and tools contained in the Statement of Approach to Resolution to individual deposit takers, which are sometimes called 'living wills' (s 260).
- **Prepositioning:** The nature of resolution makes prepositioning crucial. Much of this will occur under the Crisis Preparedness Standard (and its components) and orderly resolution focusing on the preparedness of individual depositors, institutional prepositioning and coordination, and consideration of bail-in measures that complement broader continuity and resolution measures.

This work will all be significantly influenced by the purposes framework that arises under sections 3, 190 and 259 of the DTA. The emphasis in those purposes, and in related operative provisions and regulation-making powers, is on orderly resolution, confidence, limiting contagion, integration with the DCS to optimise stability, and continuity of essential services.

Inherent in resolution as a procedure directed to financial stability, rather than a distributive insolvency procedure directed to maximise asset recovery, this can involve differential treatment of classes of creditors according to financial stability criteria, subject to the conditional purpose of respecting creditor hierarchy in section 259(1)(d)(i).

As noted in the previous section, the crisis management regime needs to cater for entities beyond traditional banks, including NBDTs and which increasingly may also include fintechs and other entities operating under diverse business models.

The 2024 Financial Policy Remit places emphasis on dynamism and innovation and recognises that the prudential laws do not provide for a 'zero failure' regime:

The Government accepts that failures of individual institutions for institution-specific reasons will occur from time to time, consistent with the normal operation of a dynamic market. The Government expects these to be managed in a manner that minimises the disruption to the financial system and broader economy, and prioritises protections for consumers, depositors, and public funds.

Another key influence on the work programme and shape of the resolution regime is the interaction with the current review of capital settings. In particular, this includes the potential for different forms of loss absorbing capital and bail-in considerations.

Where to from here?

The DTA and companion institutional legislation are a major national investment in modernisation and fitness-for-purpose of the rules that shape and protect our financial system. It is work that takes place against a shifting dynamic of market developments and a backdrop of forces in inherent tension – stability and dynamism, innovation and depositor/consumer protection. It is a project laden with difficult judgements that can only benefit of engagement from the system's stakeholders.

Ross Pennington

15 October 2025